

24LBCV00189 24LBCV00189

County: los-angeles

Division: Civil Law and Motion

Department: S27

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Case Number: 24LBCV00189 Hearing Date: June 25, 2026 Dept: S27

1. Background

Facts

Plaintiff, Allied Cement Company

filed this action against Defendant, Vopak Terminal Los Angeles, Inc. for

declaratory relief. Plaintiff's

complaint seeks the following relief:

1. For a declaration that Allied is

only obligated to pay Vopak for those CEQA Costs connected with Allied's use and occupancy of the Space (i.e., Berth 191) rather than CEQA Costs connected with the remainder of the Master Premises (i.e., Berths 187-190)

2. For injunctive relief preventing

Vopak from terminating the TSA or seeking payment from the surety under the Lease Bond for CEQA costs not connected with the Space (i.e., Berth 191);

3. For attorneys' fees and costs;

and

4. For such other and further

relief as the Court deems proper.

2. Motion

for Protective Order

a.

Initial

Note re: Summary Judgment Motions

On 1/29/26, the Court denied both parties' summary judgment motions, finding the parties' contract is ambiguous, such that parol evidence must be entertained to determine the parties' intent.

Specifically, the Court noted that the parties' amended agreement, which they entered into after the Port and Vopak agreed to complete an EIR with Vopak reimbursing costs, includes the following relevant language:

To guarantee the faithful performance of the Customer's obligations under the TSA, including costs and expenses arising from maintenance, repair and other charges imposed by the Landlord or other governmental authority in connection with the use or occupancy of the Space (e.g. CEQA reimbursement), Customer agrees to deliver, within seven (7) business days of full execution of the Third Amendment, and maintain during the term of the TSA, to Terminal, a surety bond or letter of credit . .

The Court found the parties' dispute centers on the meaning of the words "in connection with the use or occupancy of the Space and Customer's products." Allied contends this means it only has to reimburse Vopak for costs of the EIR directly related to Allied's cement operation and portion of the premises, while Vopak must pay costs of the EIR related to the remainder of the property and its use. Vopak contends that all of the costs of the EIR are "connected to" Allied's use of the premises, because the Port would have paid all of the costs of the project but for the inclusion of Allied's cement operation in the review.

The Court concluded that, in context, the words "in connection with" are reasonably susceptible to both parties' interpretations – it is reasonable to believe that only costs attributable to Allied's operation are costs "in connection with" the EIR process, and it is also reasonable to believe that costs "caused by" the need for a heightened review process are "connected to" Allied's operation, such that all costs of the review would be borne by Allied.

b. Relief

Sought

The City seeks a protective order. Specifically, it seeks an order that:

1) Protects the POLA Witnesses

from having to disclose at trial environmental review information concerning the project at the premises occupied by both Vopak and Allied (the "Berths 187-191 Project") from July 7, 2022 to the present, on the grounds that such information is protected by the Official Information/Deliberative Process Privileges and the public interest in nondisclosure outweighs the public interest in disclosure.

2) Protects the POLA Witnesses from

having to disclose information protected by the Attorney-Client Privilege.

3) Grants permission to have

counsel represent the POLA Witnesses while they are testifying at trial in order to protect POLA's privileges.

c. Initial

Note

The City seeks a "protective order"

re: the above, but cites no authority permitting the Court to impose a protective order. It relies on Evidence

Code §1040, but this section does not create the procedural right to a

protective order. The Court will do its

best to provide the parties with guidance going forward, but notes that it is not aware of any authority permitting a "protective order" under the circumstances.

d. Evidentiary

Objections

Plaintiff filed evidentiary

objections with the opposition papers. A

ruling on the objections would not change the outcome of the motion, and the Court declines to rule on them.

e. Counsel

Present

Plaintiff does not contest POLA's right to be represented and have its own attorney present at the trial, and therefore this relief is granted.

f. Official

Information/Deliberative Process Privileges

The parties agree on the nature of the official information/deliberative process privilege law. They disagree, however, concerning how the trial should proceed in this regard.

Evidence Code §1040(b)(2) permits POLA to refuse to disclose official information if disclosure of the information is against the public interest because there is a necessity for preserving confidentiality that outweighs the necessity for disclosure in the interest of justice.

POLA contends absolutely no information relating to its environmental review process meets the above test because the issue in the case concerns the parties' intent when they entered into their contract, and nothing about the EIR process is relevant to that inquiry. POLA contends the parties should be able to stipulate that they were proceeding with an MND, but once Allied's facility was added an EIR became necessary, which triggered the parties to enter into the subject reimbursement agreement. It contends the parties' negotiations are relevant, but the specifics of the MND/EIR process are not.

Plaintiff opposes the motion. It notes, first and foremost, that the cases cited by POLA construing the privilege decided the applicability of the privilege on a question-by-question basis and not as a blanket ruling prior to trial. The Court agrees. Additionally, Plaintiff correctly notes that the proposed protective order is overbroad, as it is not clear what is included in "environmental review information."

The Court notes that the parties, in order to prove their positions at trial, will need to show that the scope of the process evolved over time, and providing the jury with some context for those changes will help the jury to

understand the position from which the parties were negotiating at the time they entered into their agreement.

The parties discuss Evidence Code

§915 and Michael P. v. Superior Court (2001) 92 Cal.App.4th 1036, which provide the actual method by which relief should be granted. §915 provides:

(a) Subject to subdivision (b), the presiding officer may not require disclosure of information claimed to be privileged under this division or attorney work product under subdivision (a) of Section 2018.030 of the Code of Civil Procedure in order to rule on the claim of privilege; provided, however, that in any hearing conducted pursuant to subdivision (c) of Section 1524 of the Penal Code in which a claim of privilege is made and the court determines that there is no other feasible means to rule on the validity of the claim other than to require disclosure, the court shall proceed in accordance with subdivision (b).

(b) When a court is ruling on a claim of privilege under Article 9 (commencing with Section 1040) of Chapter 4 (official information and identity of informer) or under Section 1060 (trade secret) or under subdivision (b) of Section 2018.030 of the Code of Civil Procedure (attorney work product) and is unable to do so without requiring disclosure of the information claimed to be privileged, the court may require the person from whom disclosure is sought or the person authorized to claim the privilege, or both, to disclose the information in chambers out of the presence and hearing of all persons except the person authorized to claim the privilege and any other persons as the person authorized to claim the privilege is willing to have present. If the judge determines that the information is privileged, neither the judge nor any other person may ever disclose, without the consent of a person authorized to permit disclosure, what was disclosed in the course of the proceedings in chambers.

Michael P. confirms that this is the correct method for considering and ruling on official information privilege requests. The Court therefore denies the motion for a protective order, for which there is no authority, and advises the parties that it will proceed using the statutory method set forth in §915 to rule on each question as it is posed.

g. Attorney-Client

Privilege

Plaintiff agrees that it will not seek any information protected by attorney-client privilege or work product protection at the time of trial. Again, however, objections to specific questions must be asserted on a question-by-question basis at trial, and the Court cannot rule broadly on a motion for a protective order precluding this line of questioning in advance of trial.

h. Conclusion

The motion to permit the City to be represented by an attorney at trial is unopposed and granted. The motion for a protective order is otherwise denied.

Allied is ordered to give notice.

Parties who intend to submit on this tentative must send an email to the court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.